

EXECUTIVE SUMMARY

A. Introduction

The City of Manila was founded on June 24, 1571, as a municipal government. It became the first chartered City by virtue of the Philippine Commission Act 183 on July 31, 1901, and gained autonomy with the passage of Republic Act (RA) No. 409 or the “Revised Charter of the City of Manila” on June 18, 1949.

The personnel complement of the City in CY 2021 totaled 18,801 composed of the following:

	Executive Office	City Council	Total
Elected	2	38	40
Permanent	8,505	121	8,626
Co-Terminus	36	465	501
Temporary/Casual	92	-	92
Consultant	162	45	207
Contractual	-	5	5
Job Order	6,659	1,615	8,274
Medical Residents	130	-	130
Other Professionals	926	-	926
Total	16,512	2,289	18,801

B. Financial Highlights

Particulars	2021	2020	Increase/ (Decrease)
Assets	62,542,872,024.44	59,923,855,115.94	2,619,016,908.50
Liabilities	22,178,251,815.43	23,676,952,177.37	(1,498,700,361.94)
Equity	40,364,620,209.01	36,246,902,938.57	4,117,717,270.44
Income	26,571,318,927.94	17,905,571,309.53	8,665,747,618.41
Expenses	21,872,653,787.22	17,140,071,476.72	4,732,582,310.50
Transfers, Assistance and Subsidy From	-	292,600,487.00	(292,600,487.00)
Transfers, Assistance and Subsidy to	580,947,870.28	325,724,179.18	255,223,691.10

The total appropriations for the General Fund (GF) and Special Education Fund (SEF) of the City for CY 2021 totaled P36.456 billion. The obligations charged against these appropriations amounted to P20.664 billion:

Particulars	2021	2020	Increase/(Decrease)
Appropriations	36,456,216,237	19,228,702,046	17,227,514,191.00
Obligations	20,663,633,285	18,066,127,058	2,597,506,227.15

The total income of P26.571 billion collected during the year was sourced from the following:

Particulars	General Fund	Special Education Fund	Total
Tax Revenue	13,833,259,307.57	5,506,885,948.54	19,340,145,256.11
Share from Internal Revenue Collections	3,763,196,569.00	-	3,763,196,569.00
Service and Business Income	1,704,955,674.83	14,676,585.12	1,719,632,259.95
Shares, Grants and Donations	330,472,512.70	-	330,472,512.70
Gain on Sale of Assets	1,401,157,654.17	-	1,401,157,654.17
Miscellaneous Income	16,714,676.01	-	16,714,676.01
Total	21,049,756,394.28	5,521,562,533.66	26,571,318,927.94

C. Operational Highlights

The City reported, among others, the following significant accomplishments in CY 2021:

- a. Coronavirus Disease 2019 (COVID-19) Response:
 - Provided 55 vaccination sites and vaccinated over 3 million individuals;
 - Provided 22-bed Capacity for emergency services - COVID-19 modular and 60-bed capacity COVID-19 ward in Ospital ng Maynila Medical Center;
 - Provided new COVID-19 ward and 3-bed capacity intensive care unit room in Ospital ng Tondo;
 - Provided COVID-19 ward with intensive care capabilities in Ospital ng Sampaloc;
 - Purchased 12 freezers as storage for COVID-19 vaccines at Manila COVID-19 Vaccine Facility in Sta. Ana Hospital; and
 - Converted the San Andres Sports Complex and Canonigo covered court as quarantine facility, vaccination site and temporary shelter for street dwellers.
- b. Established the Hearing Loss and Deafness Center in Justice Jose Abad Santos General Hospital;
- c. Purchased five properties (Francisco Tan, Chona Dimayuga, Adela Tuason, Beatriz Tuazon and Antonio Samia properties) through the Land-for-the-Landless Program;
- d. Installed real time Air Quality Monitoring Station for Asia Blue Skies Program at Barangays 128 and 492, and Dr. Jose Fabella Memorial Hospital;
- e. Conducted the Nilad Tree-Planting Activity at ASEAN Garden, Intramuros, Manila;
- f. Distributed monthly monetary allowance to 180,678 senior citizens from January to September 2021;

- g. Granted P100,000.00 cash gift for 15 centenarians;
- h. Construction/ Repair/ rehabilitation/ improvement/ upgrading/ installation of various structures and facilities:
 - Completion of the following major infrastructure projects:
 1. 229 units of two-storey Townhouse at Basecommunity;
 2. 344-bed capacity Manila COVID-19 Field Hospital;
 3. Sta. Ana Hospital Hemodialysis Center
 4. Manila Muslim Cemetery and Cultural Hall;
 5. Manila District Traffic Enforcement Unit Headquarters;
 6. Perimeter fence at Nursery and Green House of the Manila Boystown Complex;
 7. Pasig River Esplanade along Baseco Compound; and
 8. Upgrading, concreting and drainage improvement of Conchu Street from P. Ocampo to Estrada Streets.
 - Ongoing construction of the following projects:
 1. 15-storey housing project - Tondominium 1 and 2;
 2. 15-storey housing project - Binondominium 1;
 3. 10-storey Ospital ng Maynila Medical Center and Parking Building;
 4. Three-storey community hospital at Baseco Compound;
 5. 10-Storey Dr. Albert Elementary School;
 6. 10-Storey Rosauro Almario Elementary School;
 7. 10-Storey Manila Science High School; and
 8. San Sebastian Residences, Pedro Gil Residences and San Lazaro Residences.
 - Ongoing redevelopment of five-hectare Manila Zoological and Botanical Garden;
 - Rehabilitation and redevelopment of sports complexes, parks, playgrounds and skate parks;
 - Installation of 9,072 LED solar-powered road studs and 75,039 square meters new asphalt road pavement;
 - Installation/repair/relamping/rewiring of 1,032 streetlights;
 - Refurbished/maintained 27 parks and completed 22,000 square meters urban greening projects; and
 - Bundling of wires and cable operations on 95 major streets.

In the same year, the City received the following awards/recognitions during the year:

- City and Municipalities Competitiveness Index 2021
For Highly Urbanized Cities Category:
 2nd Place - Overall Competitiveness Award
 1st Place - Most Competitive in Government Efficiency Award
 1st Place - Most Competitive in Infrastructure Award
- 10th Digital Governance Award 2021
 1st Place - Best in Customer Empowerment - “Connection for Inclusion”

1st Place - Best in LGU Empowerment - Manila COVID-19 Testing Center
Web Laboratory Information System

2nd Place - Best in Business Empowerment - GO! Business Permit and
Licensing System mobile application

- Bloomberg Philanthropies: 2021 Global Mayors Challenge Champion City -
Go! Manila mobile application as among the Top 50 Champion Cities

D. Scope and Objectives of Audit

The audit covered the accounts and operations of the City of Manila for the period January 1 to December 31, 2021. The objectives of the audit are to: (a) be able to lend credence to Management's assertions on the financial statements; (b) recommend agency improvement opportunities; (c) determine compliance with existing laws, rules and regulations; and (d) determine the extent of implementation of prior years' audit recommendations.

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements due to the deficiencies noted in the audit that materially affected the balances/totals of certain accounts, which are discussed in detail in Part II of the report and summarized as follows:

1. Accounting errors overstated the Cash-in-Bank (CiB) accounts by P51.371 million mainly because of the: (a) absence of an effective reconciliation of the records of the Office of the City Accountant (OCAT) and City Treasurer's Office (CTO); (b) inability of the accounting application to capture the standard transaction descriptions and references and produce the prescribed primary and subsidiary records that provide the audit trails; and (c) breakdowns in the bank reconciliation. Thus, overstated the carrying amounts of the CiB accounts by a net amount of P51.371 million.

We reiterated our recommendation that Management:

- a. Direct the OCAT to correct the accounting errors which resulted in overstatement of the carrying amounts of the CiB accounts by a net amount of P51.371 million;
- b. Direct the OCAT and CTO to reconcile fully their CiB records with those of the depository banks; and
- c. Address the deficiencies of the Philippine Public Sector Accounting Standards (PPSAS) System used by OCAT to ensure that it captures,

processes and reports all disbursement transactions of the City with the standard audit trails.

We also recommended that Management fast track the implementation of the new accounting application system for efficient, valid, accurate and complete processing of financial transactions.

2. The City had not settled cash advances totaling P182.725 million contrary to Section 89 of Presidential Decree No. 1445 and COA Circular No. 97-002 dated February 10, 1997, and bear on the fair presentation of the affected accounts in the Financial Statements (FS).

We recommended that Management:

- a. Enforce the liquidation of the cash advances and, henceforth, enforce strictly the liquidation of cash advances within the prescribed period; and
 - b. Record in the book of accounts the liquidations of cash advances amounting P641,630.33 and, prospectively, promptly record the liquidations of cash advances in order to reflect them in the books of accounts in the proper period.
3. Payables amounting to P21.888 million were not supported with the required documents proving their validity, thus, casting doubt on the fairness of the presentation of the payable accounts in the City's FS.

In order to present fairly the Accounts Payable account in the FS, we recommended that Management direct the OCAT, in coordination with the City General Services Office, to:

- a. Submit all the lacking documentation of the payables amounting to P21,887,936.93;
- b. Establish if the payables amounting to P1,625,539,630.64 are indeed firm liabilities to pay, otherwise, revert them to the surplus; and
- c. Specify in the schedule of payables the correct addresses of all the concerned creditors.

The aforementioned observations together with the corresponding recommendations were discussed with Management officials concerned during the exit conference on June 8, 2022. Management views and comments were incorporated in the report, where appropriate.

F. Summary of Suspensions, Disallowances and Charges as of year-end

The audit suspensions, disallowances and charges amounting to P42.538 million, P67.2 million and P33.047 million, respectively, remained unsettled by the concerned officers/employees and third parties determined to be liable thereto due to the inability of the Management to fully enforce settlement of the same as required under Section 7.1.1 of COA Circular No. 2009-006 dated September 15, 2009.

G. Status of Implementation of Prior Years' Audit Recommendations

Of the 58 prior years' audit recommendations contained in the CYs 2017, 2018, 2019 and 2020 Annual Audit Reports, 17 or 29.31 percent were fully implemented, 25 or 43.10 percent were partially implemented and 16 or 27.59 percent were unimplemented.